

ASSURANCE INVESTMENT AND COOPERATIVE INC. BYLAWS

Introduction

ASSURANCE INVESTMENT AND COOPERATIVE INC incorporated under the laws of the state of California on 10/31/2022, hereby agreed and adopted this bylaw as shown below on the 12/9/2022 by all members.

ARTICLE 1. Name purposes

- 1.1. The name of the cooperative shall be **ASSURANCE INVESTMENT AND COOPERATIVE INC (AIC)**
- 1.2. The business of the cooperative shall be the investment of funds received from members as well as meeting the credit and savings needs of members. We shall promote thrift among members by affording them an opportunity to accumulate their savings and to create a source of credit for provident or productive purposes AIC is member-owned, democratically operated, non-for-profit organization managed by volunteer executives and board of directors.
- 1.3. The term of the cooperative (AIC) shall commence as of December 9th, 2022. Members hereto agreed to belong to the cooperative and hereto agree the cooperative shall not be terminated by the death or withdrawal of any member but shall continue until terminated by the vote of three-fourths of the members. In the event of the death or withdrawal of any partner, the remaining partners agree to elect to reconstitute and continue the cooperative.

ARTICLE 2. Membership

- 2.1. **Classes of Members.** Assurance Investment and Cooperative INC. (AIC) shall have one class of Members.
- 2.2. **Becoming a member.** To become a Member of AIC, a person must:
 - a. Be a resident in the United States.
 - b. Pay an Initial Capital Contribution; the amount of the Initial Capital Contribution will be determined by the Board of Directors. This can change from time to time.

Be approved by the existing Members, by means of the process described in Section 1.3; and

- c. Receive a copy of the Cooperative's Disclosure Statement, Bylaws, and a receipt for payment of the Initial Capital Contribution and agree to abide by the applicable content therein.

2.3. **Acceptance of Members.** The application review and approval process for a Prospective Member is as follows:

- a. The Executive committee shall receive the membership application on behalf of the members from a Prospective Member. Such an applicant can become a bonafide member after presenting the applicant to the members in our meetings and, by a vote of the two-third present, accept the application or deny it. An applicant may only contribute money to the cooperative after being accepted by the members. Any member that has any reason why any applicant may not be admitted to become a member may say so when presenting the applicant to the members. This would be subjected to a discussion for a consensus to be reached. (Note that AIC does not discriminate except in case of criminal issues)
- b. The executive shall post the name of the prospective applicant to members platform for comment. If no negative comment is received, the prospective member will be accepted within 72 hours after the initial post. If a negative comment about a prospective member is given, the executive shall reach out to member for clarification and take appropriate action in conjunction with the board.
- c. The Members shall then decide by the decision-making process described in Section 5.1 whether to approve the application.
- d. If the application is not approved, the applicant shall duly be informed by the secretary of AIC.
- e. Upon approval of the application, and meeting the qualifications listed in Section 1.2, the applicant shall immediately become a Member.

2.4. **Members May Not Transfer Their Memberships.** No Member may transfer his Membership or any right arising from that Membership. Any attempted assignment or

transfer of Membership shall be void and will not confer rights on the intended assignee or transferee.

ARTICLE 3. Banking

- 3.1. The bank of the partnership shall be such bank or banks as AIC members shall from time to time agree upon.
- 3.2. All partnership monies shall, as and when received, be paid into or deposited in the bank to the credit of the partnership account. Such funds shall, at the direction of the partnership be invested by the Executive in conjunction with the board and the investment committee-in-charge of the project. Investment can also be made in interest-bearing, or dividend-bearing accounts maintained by a bank or other financial institution to the extent that such funds are not currently required for the operations of the cooperative.
- 3.3. All checks shall be drawn in the AIC name and manually signed by the President or the Chairman of the Investment Committee of the cooperative and the Treasurer or such other individual or individuals as may be designated from time to time by a majority vote of the partnership, except that the withdrawal of petty cash will require the signature of the president and the treasurer of the cooperative.

ARTICLE 4. Termination of Membership

- 4.1. **Resignation of a Member.**
 - a. Every Member has the right to resign from the Cooperative.
 - b. When a member resigns from AIC his or her Membership will be terminated.
 - c. To resign from the AIC, a member must provide the Secretary of the Cooperative with a written notice of resignation. The resignation shall become effective immediately without any action on the part of the Cooperative. The individual who resigned from the Cooperative will not be allowed to work for the Cooperative for one month following voluntary termination of Membership unless his Membership is renewed by the Cooperative.

- d. If a member resigns, he is still responsible for any charges, dues, or other obligations that the Member owes to the Cooperative. The Cooperative shall still have the right to enforce any such obligation or obtain damages for its breach.

4.2. **Death of Member.** A Membership shall immediately terminate upon the death of a Member.

4.3. **Expulsion of a Member.** No Member may be expelled or suspended except according to procedures satisfying the requirements of this section:

- a. A Member may, for any lawful reason, be expelled from the Cooperative by a vote of 75% or greater of the Members at a duly called meeting at which a quorum is present.
- b. The Member must be given 15 days' prior notice of the expulsion, suspension, or termination, and the reasons for that expulsion, suspension, or termination.
- c. The Member shall have an opportunity to be heard, orally or in writing, not less than five days before the effective date of expulsion, suspension, or termination, by a person or body authorized to decide that the proposed expulsion, termination, or suspension not take place.
- d. Any notice required under this section may be given by any method reasonably calculated to provide actual notice. Any notice given by mail must be given by first-class or registered mail sent to the last address of the Member shown on the Cooperative's records.
- e. A Member who is expelled or suspended shall be liable for any charges, dues, or other obligations incurred before the expulsion, suspension, or termination.
- f. The Cooperative may direct a Member whose expulsion is being considered to refrain from conducting business as a Member until the expulsion decision is made, provided the Cooperative pays the Member his average weekly wage or compensation if any—calculated based on the three months preceding the date of the notice given pursuant to this section – until the expulsion decision is made. The Cooperative may also direct a member whose expulsion is being considered to stay away from the Cooperative's places of business except as necessary to exercise his rights under law

ARTICLE 5. Member Meetings

- 5.1. A physical meeting of the members of AIC shall be held quarterly at a day, hour, and place agreed upon. AIC executive may designate another day for a meeting in case it is impractical or generally inconvenient to hold a meeting as herein provided. AIC may organize or permit virtual attendance and participation in meetings. Executives may also provide regular updates on investments, news etc., on the web portal
- 5.2. A virtual meeting shall be held monthly to generally discuss the progress of AIC and hear report if any for committees.
- 5.3. The presence of a majority of the members at a meeting shall constitute a quorum for the transaction of any business. A member may be present at a meeting either in person or by proxy, provided that no proxy shall be effective unless it is in writing and in a form previously approved by the partnership for that purpose. All proper proxies shall be included in the count of the quorum.
- 5.4. A regular annual meeting may be passed by a majority vote at the prior annual meeting.
- 5.5. In an emergency, the President of the partnership, may call a special meeting, provided at least three days' notice in writing is sent to all members. The President shall also endeavor to give at least three days' personal notice of such special meeting to each member. Notwithstanding the foregoing, on twenty-four (24) hours' notice, a telephone or video conference may be held as a special meeting.
- 5.5. Member Voting.**
- a. Each Member will have one vote on each matter submitted for a vote irrespective of money contributed to the cooperative.
 - b. If a vote requires that Members cast a written ballot, only Members that have been Members of the Cooperative for more than 30 days prior to the meeting date may be entitled to cast ballots.
 - c. Cumulative voting shall not be permitted for any purpose.
 - d. Proxy voting shall not be permitted for any purpose.

5.6. Annual Members Meeting.

- a. There shall be a quarterly meeting of members to discuss the progress of the cooperative.
- b. The Annual Members Meeting shall be held at the end of each year to be agreed on
- c. Executive elections shall be held every two years.

5.7. Special Member Meetings.

- a. Special meetings of the Members for any lawful purpose may be called by the Board, President, Secretary, or by at least 5% of the Members.
- b. The procedure for calling a special Members meeting shall be as follows:
- c. The person(s) requesting the special meeting shall submit a written request to the Cooperative addressed to the attention of the President or Secretary.
- d. Within 14 days after receipt, the President or Secretary shall cause notice to be given to the Members entitled to vote that a meeting will be held at a time fixed by the Board not less than 20 nor more than 35 days after the receipt of the request.
- e. Special meetings shall be held at the principal office of the Cooperative or virtually.
- f. Investment committee can also help a special meeting accordingly to discuss and deliberate on investment opportunities, issues, and proposals submitted by members before briefing the board and executive. The executive will bring up such matters in the annual meetings.

5.8. Notice.

- a. Whenever the Members are required to take any action at a meeting, a written notice of the meeting shall be given not less than 10 nor more than 30 days before the date of the meeting to each Member who, on the record date for notice of the meeting, is entitled to vote.
- b. The notice shall state the following:
 - I. Meeting place, date, and time of the meeting.
 - II. If applicable, the log-in or call-in information for telephone/video/web conference.

- III. In the case of a special Members meeting, the general nature of the business to be transacted, and that no other business may be transacted, or
 - IV. In the case of the regular Members meeting, those matters which the Board intends to present for action by the Members.
- c. Notwithstanding the above, any of the following decisions, other than by unanimous approval by those entitled to vote, shall be valid only if the general nature of the proposal was stated in the notice of meeting or in any written waiver of notice:
- I. Removal of Directors.
 - II. Election of a Director to fill a vacancy.
 - III. Approval of a contract or other transaction between the Cooperative and any corporation, firm, or association in which one or more of its directors has a material financial interest or is a director.
 - IV. Amendment of the articles of incorporation; and
 - V. Approval of a plan of distribution upon winding up of the Cooperative.
- d. Notice of a Members' meeting or any report shall be given personally, by electronic transmission, or by mail or other means of written communication, addressed to a Member at the address of such Member appearing on the books of the Cooperative or given by the Member to the Cooperative for purpose of notice.

5.9. Members Entitled to Notice.

A Member shall be entitled to notice of any meeting, so long as their Membership became official 30 days before the meeting date.

5.10. Meetings Held Without Proper Notice.

- a. Members not present:** The transactions of a meeting, whether or not validly called and noticed, are valid if a quorum is present and each of the absent Members who is entitled to vote, either before or after the meeting, signs either: a written waiver of notice, a consent to the holding of the meeting, or an approval of the minutes of the meeting. All waivers, consents, and approvals shall be filed with the corporate records or made a part of the minutes of the meeting.

- b. Members present:** A Member's attendance at a meeting shall constitute a waiver of notice of and presence at the meeting unless the Member objects at the beginning of the meeting. However, attendance at a meeting is not a waiver of any right to object to the consideration of matter required to be included in the notice but not included if an objection is made at the meeting.

5.11. Use of Written Ballots at Meetings.

- a. Written ballots will be used for the election of Officers and may be used for Executives, when applicable. Written ballots may also be distributed for other matters if the Board authorizes.
- b. Ballots for Officers elections must:
 - I. Be distributed at least 10 days before the annual meeting.
 - II. Include the names of all nominees; and
 - III. Include a space for write-in candidates.
- c. Other written ballots must:
 - I. Describe the proposed action; and
 - II. Provide an opportunity to approve or disapprove of the proposed action.
- d. All ballots shall specify:
 - I. The number of responses necessary to reach quorum; and
 - II. The deadline by which the ballot must be filled out and turned in, in order to be counted.
- e. When ballots are distributed at a meeting, the number of Members voting shall be considered present for the purposes of determining quorum with respect to the specific actions in the ballot.

5.12. Quorum. A majority of Members shall constitute a quorum at a meeting of Members. When a quorum is present, proposals shall be adopted using consensus process unless otherwise required in the Articles or Bylaws.

5.13. Loss of Quorum at a Meeting. If there is a quorum present at the beginning of a meeting and then some Members leave so that less than a quorum remains, the remaining Members may continue to conduct business, as long as any actions they take (other than

adjournment) reflect consensus of, or when voting is called for, at least three-fourths of the Members required to constitute a quorum.

5.14. Adjournment for Lack of Quorum. In the absence of quorum, a majority of present Members can vote to adjourn the meeting, and no other business may be transacted, except as provided in Section 3.10 above.

5.15. Adjourned Meetings.

- a. If a meeting is adjourned to a new time/place, Members may conduct any business at the new meeting that could have been conducted at the original meeting.
- b. If the new meeting is announced at the original meeting, no additional notice is required. However, if the new meeting is more than 30 days after the original meeting or if a new record date is fixed for the adjourned meeting, notice of the new meeting must be given to each Member entitled to vote at that meeting.

5.16. Action Without Meetings.

- a. Any action which may be taken at any regular or special Members meeting may be taken without a meeting if the Cooperative distributes a written ballot to every Member entitled to vote on that proposal.
- b. The written ballot shall set forth the proposal, provide the opportunity to specify approval or disapproval of the proposal, indicate the number of responses needed to meet quorum, the percentage of approvals necessary to pass the proposal; and provide a reasonable time within which to return the ballot.
- c. Approval under this section shall be valid only when:
The Cooperative receives within the specified timeframe a number of written ballots that is at least equal to the quorum required for a meeting; and
- d. The number of approvals is at least equal to the number of approvals required at a meeting.
- e. The Secretary shall cause a vote to be taken by written ballot upon any action or recommendation proposed in writing by 20 percent of the Members.

ARTICLE 6. Directors' Meetings

6.1. Directors and Board Composition.

- a. The registering board members shall serve on the board of AIC
- b. There shall be no more than 5 board
- c. If there are fewer than 3 Members, the Member(s) shall elect members to complete the numbers.

6.2. Terms of Executives.

- a. The term of office of the executives shall be two years.
- b. Bi-annually, new executives shall be elected to steer the affairs of the cooperative.
- c. Notwithstanding the above, a person whose Membership is terminated cannot continue to be either an executive or a member of the cooperative.

6.3. Executives Voting. Executives shall vote as a member

6.4. Notice of Meetings.

- a. Regular meetings will be held the third Sunday of every month at an agreed upon time physically or virtually. If the day fixed for the regular meeting falls on a legal holiday, the meeting shall be held at the same time on the next day.
- b. Special meetings shall be held upon four days' notice by first-class mail or 48 hours' notice delivered personally, by telephone, including a voice messaging system, or by electronic transmission by the Cooperative. A notice, or waiver of notice, need not specify the purpose of any regular or special meetings of the Board.

6.5. Waiver of Notice. Notice of a meeting need not be given to any Director who provides a waiver of notice or consent to holding the meeting or an approval of the minutes in writing, whether before or after the meeting, or who attends the meeting without protesting the lack of notice to that Director. All waivers, consents, and approvals shall be filed with the corporate records or made a part of the minutes of the meetings.

6.6. Quorum.

- a. A majority of Members shall constitute a quorum for a Board meeting.

- b. When a quorum is present, proposals shall be adopted using the modified consensus process as described in Section 5.1, unless otherwise required in the articles or bylaws.

6.7. **Loss of Quorum at Meeting.** If there is a quorum present at the beginning of a meeting and then some Directors leave so that less than a quorum remains, the remaining Directors may continue to conduct business as long as any actions they take (other than adjournment) reflect consensus of, or when voting is called for, at least three-fourths of the Directors required to constitute a quorum.

6.8. **Adjournment for Lack of Quorum.** In the absence of quorum, a majority of present Directors can vote to adjourn the meeting. No other business may be transacted, except as provided in Section 4.7 above

6.9. **Adjourned Meetings.** A majority of the Members present, whether or not a quorum is present, may adjourn any meeting to another time and place. If the meeting is adjourned for more than 24 hours, notice of any adjournment to another time or place shall be given prior to the time of the adjourned meeting to the Directors who were not present at the time of the adjournment.

6.10. **Action Without Meeting.** The Board of Directors and executives may take action without a meeting in the best interest of the cooperative. The written consents shall be filed with the minutes of the meetings. Action by written consent has the same force and effect as a unanimous vote of the members.

6.11. **Resignation.**

- a. The only way that a member may resign is by formally informing AIC of the intention in writing.
- b. In a case where a Director may resign, the following procedure shall be followed:
 - I. A Director may resign effective upon giving written notice to the President, the Secretary of the Cooperative, unless the notice specifies a later time for the effectiveness of such resignation.

- II. The Board shall then appoint a person to fill the vacancy and serve until the next Annual Members Meeting.

6.12. Removal.

- a. Directors may not be removed except if they cease to be Members.
- b. The Board may declare vacant the office of a director whose eligibility for election as a Director has ceased, or who has been declared of unsound mind by a final order of court, or convicted of a felony.
- c. Directors may be removed without cause by the Members, if removal is approved by a vote of 75% or greater of all Members at a duly called meeting at which a quorum is present.
- d. Vacancies caused by removal may only be filled by approval of a majority of all Members.

6.13. Empowered Committees.

- a. The Board may establish committees Each committee shall consist of two or more Directors who serve at the pleasure of the Board.
- b. An empowered committee shall have the same authority as the Board, except with respect to:
 - I. Approval of any action that by law requires approval by most of the Members.
 - II. Filling vacancies of the Board or any committee that has the authority of the Board.
 - III. Fixing compensation of Directors for serving on the Board.
 - IV. Amendment or repeal of the Bylaws or adoption of new Bylaws.
 - V. Amendment or repeal of any resolution that the Board has expressly deemed not amendable or repeatable.
 - VI. Establishment of committees of the Board or appointing Members to such committees.
 - VII. Expenditure of corporate funds to support a nominee for Director (if there are more people nominated for Director than open slots available).

ARTICLE 7. Decision-Making Process

7.1. Modified Consensus Decision-Making Process.

- a. Matters will be discussed with the goal of reaching a consensus.
- b. If consensus cannot be reached, Members will vote on whether the issue must be decided at the current meeting or can be tabled for future discussion.
- c. If at least three-fourths of the quorum believe that an immediate decision is needed, voting will be held on proposals regarding the issue.
- d. The proposals can then be carried by a three-fourths vote, except as otherwise provided in these bylaws.

ARTICLE 8. Officers

8.1. Titles of Officers.

- a. Officers of the Cooperative shall be:
 - I. A President,
 - II. A vice President
 - III. A Secretary,
 - IV. A Chief Financial Officer,
 - V. Treasurer
 - VI. Assistant Treasurer
 - VII. Any other Officer with a title and duties determined by the Board
- b. The President is the Chief Executive Officer of the Cooperative.
- c. One person may hold any number of offices, except the President and Secretary shall not be the same person.

8.2. Duties of Officers.

- a. Officers' duties include those duties:
 - I. Prescribed by law,
 - II. Granted by these Bylaws, and/or
 - III. Granted by resolutions of the Board.
- b. The Secretary must ensure that the Cooperatives' records and reports are properly kept and filed.

- c. The Vice president shall preside in meetings if the president is not present or available
- d. The Vice President shall take on the duties of the Secretary if the Secretary is unable or unwilling to do so.
- e. It shall be the duty of the President to preside at meetings, appoint committees (in partnership with the board) and oversee all cooperative activities.

8.3. Nomination and Election of Officers.

- a. Any Member can nominate any Member, including himself/herself, for any office. Nominations shall take place at the Annual Member Meeting and at the preceding regular meeting when election is to take place.
- b. Officers shall then be elected at the Annual Member Meeting by written ballot, to serve two-year terms. The candidate receiving the highest number of votes for an office shall be elected.

6.4 Resignation or Removal of Officers.

- a. Officers can be removed by a vote of the Board.
- b. Any Officer may resign at any time with written notice to the Cooperative.
- c. Vacancies shall be filled at the next Board meeting.

ARTICLE 9. Financial Provisions

9.1. Fiscal Year. The fiscal year of the Cooperative is January 1st through December 31st.

9.2. Definitions.

- a. “Surplus” shall be defined as the excess of revenues over Expenses for a fiscal year attributable to Member labor.
- b. “Profit” shall be defined as the excess of revenues over Expenses for a fiscal year attributable to non-Member labor.
- c. “Loss” shall be defined as the excess of Expenses over revenues for a fiscal year.

- d. Surplus, Profit, and Loss shall be determined on a tax basis. Surplus and Profit shall not include cash contributions by Members to capital.
- e. “Expenses” shall include Distributions paid pursuant to Section 7.6, payments of any interest and principal on any debts of the Cooperative, and reasonable reserves as determined by the Board of Directors.
- f. The “Collective Account” shall be Surplus, Profit, and reserves that are retained in the Cooperative and not distributed to Members.
- g. “Patronage” shall be defined as hours worked by each Member for the Cooperative.
- i. “Member Account” shall be defined as each Member’s capital account in the Cooperative (initial capital contribution plus written notices of allocation minus Distributions minus Losses plus/minus any other item that affects the balance in the Member’s capital account).
- j. “Distribution” means the distribution of interest on capital contributed but does not include Patronage Dividends.

9.3. Allocations.

- a. Any Profit shall be credited to the Collective Account.
- b. Any Surplus shall be credited to the Collective Account as necessary to bring the year’s contribution to the Collective Account up to 25% of the year’s combined Profit/Surplus. Surplus and dividend should be paid to members who is part of the investment according to the percentage contributed for the investment.
- c. Any Loss shall be allocated 75% to Member Accounts in direct proportion to Patronage during the fiscal year and 25% to the Collective Account, with the exception of Losses occurring and/or carried over from the Cooperative’s first two fiscal years, which shall be allocated 100% to the Collective Account.
- d. The percentages referred to in this section can be changed for the coming fiscal year by the Board.

9.4. Members' Covenant to Declare Income for Tax Purposes.

Each Member shall take into account on his or her income tax return any Patronage Dividends which are made in qualified written notices of allocation (as defined in 26 U.S.C. Section 1388) at their stated dollar amounts in the manner provided in 26 U.S.C. Section 1385(a) in the taxable year in which the Member receives such written notices of allocation. Cooperative may ask for relevant documentation or information before dividend cash be disbursed for income tax purpose.

9.5. Distributions of Interest on Member Accounts.

The Cooperative may, by a decision of the Board, pay interest to Members on the Members Accounts. The interest may be paid in cash or as an additional credit to the Member Accounts. The rate of interest shall be determined by the Board, but may not, in one year, exceed 15 percent of each Member's contributed capital, which includes capital contributions, membership fees, and capital credits.

9.6. Periodic Redemption of Member Accounts.

- a. The Cooperative shall aim to pay out in cash to the Members all funds credited to their Member Accounts within three years of the date they were first credited.
- b. As a general rule, written notices of allocation credited to Member Accounts (including notices now converted to debt) will be paid out in the order in which they are credited, with the oldest paid out first. However, the Board can decide to accelerate the repayment of debt owed to former Members on a case-by-case basis.
- c. If the Cooperative does not have sufficient funds to pay out all funds credited to Member Accounts for a given fiscal year, then funds will be paid out in proportion to the balance in the Member Accounts.

9.7. Payment Rights Upon Membership Termination.

- a. When a Membership is terminated for any reason, including a member's death, the amount in the Member Account will automatically be converted to debt owed to the former Member, or, if necessary, to the Member's estate, or to another assignee designated by the Member.

- b. The Cooperative shall repay the debt within six months of the Membership termination, with interest accruing at the discount rate –plus two percent, on the amount outstanding at the end of each fiscal year. There would be necessary deductions however due to AIC.
- c. The Cooperative, in settling a Member Account, shall have the right to set off any and all indebtedness of the former Member to the Cooperative.

9.8. Priority of Payments.

Notwithstanding anything else to the contrary in this Article, payments by the Cooperative shall be made in the following order of priority:

- a. First, to make payments of any necessary expenses related to the operation of the cooperative, including wages, and payments of any interest and principal on any debts of the Cooperative,
- b. Second, to pay Patronage Dividends to all eligible Members,
- c. Third, to pay Distributions to all eligible Members, and
- d. Fourth, to make periodic redemptions pursuant to Section 9.7.

9.9. Dissolution Distributions.

- a. Upon liquidation, dissolution, or sale of the assets of the Cooperative, any assets left after payment of all debts and Member Account balances shall be distributed to all persons who are current or living past Members in proportion to the number of hours each Member worked during the time, he or she was a Member of the Cooperative.
- b. No distribution need be made to any person who fails to acknowledge the receipt of notice of liquidation in a timely manner. Said notice shall be deemed sufficient if sent by certified mail, at least 30 days before distribution of any residual assets, to the person's last known business or residence address.

9.10. Unclaimed Equity Interests.

Any proprietary interest in the Cooperative held by a Member that will otherwise escheat to the State of California as unclaimed personal property shall instead become the property

of the Cooperative if the Cooperative gives at least 90 days prior notice of the proposed transfer to the affected Member by

- a. first-class or email to the last addresses of the Member shown on the Cooperative's records, and
- b. By publication in a newspaper of general circulation in the county in which the Cooperative has its principal office. No property or funds shall become the property of the Cooperative under this section if written notice objecting to the transfer is received by the Cooperative from the affected Member prior to the date of the proposed transfer.

ARTICLE 10. Loans

- 10.1. If at any time, in the opinion of the cooperative, additional capital shall be desirable to carry out the partnership's investment program, the President with the approval of the board and all executive members, may secure such additional capital from banks or other sources, or any partner. The President shall not, however, have the authority to obligate the partnership with respect thereto unless such action has been specifically authorized by an affirmative vote (physical or by video conference) of not less than seventy-five percent (75%) of the members the board, executive and the committee in charge of the project. Evidence of such authorization shall be in the form of a written containing the date and location of the meeting at which the authorization was so voted and the signature of each member of the Investment Committee. No member shall be liable for the repayment of such borrowed additional capital beyond his proportionate share of partnership liabilities, and the partnership and each of the partners shall indemnify and hold each partner harmless from and against any liability in connection therewith that exceeds that partner's proportionate share of partnership liabilities. In the event of any borrowing to acquire real property, such financing shall be on a non-recourse basis secured by the assets of the cooperative and no member shall have any obligation for the repayment of such loan.

- 10.2. Member's loan from the cooperative funds. Members can apply for loans from the cumulative funds they contributed minus funds the cooperative used as an investment as agreed by the member. Members can borrow more than the amount contributed provided
- a. 2 members of the cooperative can serve as guarantors and be held accountable in case of default, and
 - b. The amount intends to borrow does not exceed the cumulative amount in the member and his guarantors' account.

ARTICLE 11. Title to cooperative property

All property purchased with AIC funds shall be carried in the name of AIC or in the name of the board members as trustees for the cooperative.

ARTICLE 12. Profits and Loses

- 12.1. The net profits of AIC shall be divided among the partners and the net losses shall be borne by them in proportion to their partnership interests.
- 12.2. All or part of the assets of the cooperative may be apportioned and distributed among the partners equally upon a three-fourths (3/4) vote at a regular meeting of the partnership.
- 12.3. For purposes of the federal Internal Revenue Code and any similar tax law of any state or jurisdiction, the determination of each partner's distributive share of all items of income, expense, tax deduction and depreciation, if any, shall be allocated to the members in proportion to their interests and in accordance with the regulations under section 704 of the Internal Revenue Code.

ARTICLE 13. Corporate Records and Reports

- 13.1. **Records Required to Be Kept.** The Cooperative shall keep at its principal office:
- a. The original or a copy of its Articles and Bylaws as amended to date.
 - b. Adequate and correct books and records of account.
 - c. Minutes of the proceedings of its Members, Board, and committees of the Board;
- and

- d. A record of its members, providing their names and addresses as well as their next of kin

Minutes and other books and records shall be kept either in written form or in any other form capable of being converted into clearly legible tangible form or in any combination of the foregoing.

13.2. Inspection Rights.

- a. The Cooperative's Bylaws and Articles shall be open to inspection by the Members at all reasonable times during office hours.
- b. Any such inspection may be made in person or by agent or attorney and the right of inspection includes the right to copy and make extracts.
- c. The accounting books and records and minutes of proceedings of the Members and the Board and committees of the Board shall be open to inspection upon the written demand on the Cooperative of any Member at any reasonable time, for a purpose reasonably related to such person's interests as a Member.
- d. Every Director shall have the absolute right at any reasonable time to inspect all books, records and documents of every kind and to inspect the physical properties of the Cooperative.

13.3. Annual Report.

- a. The annual report shall be prepared no later than 60 days after the close of the Cooperative's fiscal year and shall be distributed to Members at or before their next meeting.
- b. The annual report shall contain in appropriate detail:
 - I. A balance sheet as of the end of the fiscal year.
 - II. An income statements.
 - III. A cash flow statement of the fiscal year;
A statement of where the names and addresses of current Members are located; and

- IV. An annual statement of transactions and indemnifications to “interested persons” as defined by law.
- c. For fiscal years in which the Cooperative has (at any given time) over 25 Members, the Cooperative shall notify each Member of his/her right to receive an annual financial report.
 - d. The annual report shall be accompanied by any pertinent report by independent accountants.
 - e. If there is no such report from an independent accountant, an authorized Officer of the Cooperative shall certify that the annual report was prepared from the books and records of the Cooperative, without audit.

ARTICLE 14. Dissolution

The Cooperative may be dissolved and terminated upon

- a. The vote or agreement of three-fourths of the partners or
- b. Upon any such dissolution and termination, the partners shall promptly liquidate the affairs of the cooperative and by distributing all remaining assets, in cash or in kind or partly in cash and partly in kind, to **the members** or their representatives in the ratios of their respective capital accounts on the date of dissolution and termination.

ARTICLE 15. Amendment

These Articles may be amended or revoked, or new Articles may be adopted, upon a vote of three-fourths (3/4) of all the members of AIC. All prior membership agreements are superseded and replaced by the provisions of this partnership agreement.

ARTICLE 16. Arbitration

Any dispute which cannot be settled among the members involved shall, upon request of any members involved, be settled by arbitration in accordance with the rules of the American Arbitration Association then in effect.

ARTICLE 17. Indemnification

The Cooperative shall have the power to indemnify its Board, Officers, Directors, Members, employees, and agents to the fullest extent permitted by law.

ARTICLE 18. Bylaws Changes

Bylaws Changes. The Bylaws can be changed only by a vote as Members in the circumstances defined in article 15.

Certificate of Secretary

I certify that I am the duly elected and acting Secretary of AIC, Inc. that these Bylaws, consisting of _____ pages, are the Bylaws of this cooperative as adopted by the Members on _____, 2022 and Executed on _____, 2022 at _____, California, by _____.